Accounts Management System

Requirements and Scope Document

Prepared for: [Client / Company Name]

Prepared by: [Your Name]

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Version: 1.2 (Security, backups and server added)

1. Purpose of This Document

This document explains our understanding of your business and how the new accounts system will work. Version 1.1 includes your answers to our follow-up questions and the changes they made to the design. Version 1.2 adds how your data is kept safe: logins, backups, the server, and what you receive at handover.

Please read it and confirm. Once confirmed, development will follow this document. Any new requirement after confirmation will be discussed and handled as a separate change.

2. Our Understanding of Your Business

- You buy chicken waste and wood from different suppliers. There are no middlemen.
- The waste is boiled into a protein product. Wood is used as fuel. Oil/fat is also produced and sold separately.
- Protein product is sold to feed factories. Oil/fat is sold to its own buyers.
- Suppliers and buyers are always different people.
- Rates change from person to person and from day to day. One rate per delivery.
- Sometimes the rate is decided after delivery. Any deduction or rejection is settled on site, and the final agreed figure is written down.
- For payment, the supplier's weight is final for purchases, and the buyer's weight is final for sales.
- Payments are made and received in cash or by bank transfer. No cheques. Buyers pay the full agreed amount, with no tax deducted.
- Payments can be full, partial or in advance.
- The business pays for some transport.
- Partners invest money and sometimes withdraw it. The business has no loans.

3. Goals of the System

- Record every rupee coming in and going out.
- Know at any time who owes the business and whom the business owes.
- See cash and bank balances at any time.
- At month end, all accounts balance (debits equal credits) and match the real bank statement and cash in hand.
- Protect records from mistakes and misuse.
- Give the owner useful indicators about the business from the data already recorded.

4. What Version 1 Includes

Area	What it does
Parties	One list of suppliers, buyers, partners, employees and others, each with a profile and khata
Items	Waste (raw material), Wood (fuel), Protein product, Oil/Fat
Purchases	Waste and wood: kg, rate, total. Rate can be added later. Weight slip number and photo
Sales	Protein product and oil/fat: kg, rate, total. Rate can be added later. Weight slip number and photo

Area	What it does
Agreed adjustments	Record an amount agreed between both sides after a purchase or sale (quality, weight, freight, other), without changing the original entry
Payments and receipts	Full, partial or advance. Cash or bank transfer, with transaction reference
Expenses	Category, amount, required note. Paid now, or unpaid (owed to a party such as a transporter) and paid later
Transport	Transport expenses, optionally linked to a purchase or sale, with transporter as a party
Partner money	Partner investments and withdrawals
Transfers	Cash to bank, bank to cash, bank to bank
Accounts	Cash and each bank account, with live balance
Reports	Khata, balances, expenses, trial balance, weight difference, business insights and more
Month-end close	Match bank and cash, check pending rates, then lock the month

5. How the System Works: Step by Step

1. **Setup:** Add parties, accounts and items. Enter starting balances on a fixed start date.
2. **Buying:** Enter supplier, item, kg (supplier's weight), rate, and slip number. Optionally enter our own weight. The total is added to the supplier's balance. If the rate is not decided, it goes to the Rate Pending list.
3. **Paying a supplier:** Enter supplier, amount, cash or bank. Payment before delivery shows as an advance.
4. **Selling:** Enter buyer, product, kg (buyer's weight), rate, and slip number. Optionally enter the weight that left the plant.
5. **Receiving money:** Enter buyer, amount, cash or bank, and transfer reference. Partial payments allowed.
6. **Agreed adjustments:** If both sides agree a deduction after the entry, record it as an adjustment linked to that purchase or sale.
7. **Expenses:** Enter category, amount and a required note. Choose paid now (cash or bank) or unpaid (owed to a party).
8. **Partner money and transfers:** Separate forms, so they are never mixed with sales or expenses.
9. **Checking:** View any khata, pending balances and the daily summary. At day end, count the cash and enter it.
10. **Month-end:** Fix pending rates, match bank and cash, review balances, then lock the month.

6. Example: One Day

Starting balances: Cash Rs 80,000, HBL Rs 3,00,000.

#	What happened	Result
1	Aslam: 800 kg waste @ Rs 50 = 40,000, paid in cash	Aslam: 0. Cash: 40,000
2	Karim: 600 kg waste @ Rs 48 = 28,800, paid 10,000 cash	Karim owed 18,800. Cash: 30,000

#	What happened	Result
3	Bashir: advance Rs 20,000 from HBL, no wood yet	Bashir: advance 20,000. HBL: 2,80,000
4	Karim: 400 kg waste, rate not decided	Shown in Rate Pending list
5	ABC Feeds: 300 kg protein @ Rs 210 = 63,000, on credit	ABC owes 63,000
6	Rehman Traders: 100 kg oil @ Rs 300 = 30,000, paid into HBL	Rehman: 0. HBL: 3,10,000
7	ABC Feeds and owner agree Rs 2,000 off for moisture	Adjustment recorded. ABC owes 61,000
8	Transport to ABC Feeds Rs 4,000, transporter to be paid later	Transporter owed 4,000
9	Wages Rs 8,000 cash. Note: "Daily wages, 8 labourers"	Cash: 22,000

End of day: Cash Rs 22,000, HBL Rs 3,10,000. We owe Karim Rs 18,800 plus 400 kg (rate pending) and the transporter Rs 4,000. ABC owes us Rs 61,000. Bashir has an advance of Rs 20,000.

7. Party Profiles

Required

- Party code (created automatically)
- Name
- Type: supplier, buyer, partner, employee or other
- Mobile number
- Status: active or inactive

Optional

- Name in Urdu
- Business name and contact person
- Area, address and city
- NTN
- Bank details
- Opening balance and date
- Notes

Buyers and partners only

- Buyers: credit limit and payment terms (days)
- Partners: profit share % and joining date

Rules

- Every entry is linked to a party selected from the list, never typed by hand.
- The selection list shows name, area and mobile, so similar names are not confused.
- The system warns if a mobile number already exists.
- Parties with history are never deleted, only marked inactive.

8. Users and Permissions

Action	Owner	Accountant
Add and edit parties	Yes	Yes (owner is alerted)
Purchases, sales, payments, expenses, adjustments	Yes	Yes
Add rate later, edit or cancel entries	Yes	Yes (logged)
Approve large payments	Yes	No
Partner investments and withdrawals	Yes	No (to be confirmed)
Close month	Yes	No (to be confirmed)
Reopen closed month	Yes	No
Merge duplicate parties	Yes	No
Manage users and settings	Yes	No
View reports	Yes	Yes

9. Trade-Specific Controls

- **Weight proof:** slip number and photo on every purchase and sale.
- **Our weight (optional):** record the plant's own weight next to the supplier's or buyer's weight.
- **Duplicate warning:** same party, same kg, same day shows "Possible duplicate".
- **Entry slip:** after each purchase or sale, a simple slip can be shared with the party as PDF.
- **Rate pending age:** entries waiting for a rate too long are highlighted.
- **Advance age:** advances outstanding too long are highlighted.
- **Voucher numbers:** every entry gets a running number, so gaps are visible.
- **Cash given to staff:** recorded on the employee's khata, with expenses and returned cash entered against it.

10. Reports

- Party khata with running balance, shareable as PDF
- Pending balances: who owes us, whom we owe, advances, overdue buyers
- Rate Pending list
- Daily summary and daily cash check
- Expense report by category, including transport
- Cash and bank account statements
- Trial balance (proof that all accounts balance)
- Income vs Spending for the month (not profit, because stock is not recorded)
- Partner statement
- Rate report: rate history and average buying and selling rates
- Weight difference report: supplier's or buyer's weight vs our weight, per party
- Adjustments report: total agreed adjustments per party

Business insights (rough indicators, not exact profit)

- **Kg ratio:** protein and oil kg sold compared to waste kg bought, over 3 months.
- **Wood per kg of waste:** fuel use trend by month.
- **Rate gap:** average buying rate vs average selling rate by month.
- **Rough cost per kg sold:** purchases plus expenses divided by kg sold, over 3 months.
- **Supplier comparison:** kg supplied, average rate, advances, weight differences.
- **Buyer comparison:** average days to pay, overdue amount, adjustments, share of total sales.

11. Safety and Control

- Every entry is balanced automatically by the system.
- Entries are never deleted. Mistakes are edited or cancelled, and the change is recorded.
- Every entry shows who created it and when.
- Daily cash check to catch differences on the same day.
- Month-end lock so old records cannot be changed.
- Owner is alerted when new parties are added.
- Backups every hour, encrypted and stored outside the server. Only two named people hold the key that opens them, and a restore is tested every month.
- If the server is ever lost, the system can be rebuilt on a new server from the latest backup (target: at most 1 hour of entries lost, running again within 4 hours).
- Strong passwords. The owner creates each user with a temporary password that the user must change at first login.
- Two-step login (a code from a phone app) is available for every user; you decide whether it is required for the owner (Section 14).
- A disabled user is logged out at once, on every device.
- The system runs on its own server with security updates installed automatically, and the connection is always encrypted (https).
- If something fails (backup, server, certificate), the owner and the developer are alerted.
- The server, domain, backup storage and code accounts are in the company's name and are handed over to you, with written instructions.

12. Not Included in Version 1

Not needed, based on your answers

- Tax deduction by buyers
- Cheque tracking
- Mobile wallet accounts
- Returns module (rejections settled on site)
- Loans
- Parties who are both supplier and buyer

Kept for future versions

- **Stock tracking.** Because stock is not recorded, the monthly report shows "Income vs Spending", not true profit. Kg is recorded on every entry so stock can be added later.
- Production tracking (waste in, product out)
- Urdu interface (party names can be saved in Urdu)
- Separate mobile app (the system works in the mobile browser)
- Payroll and tax invoices
- Automatic WhatsApp messages

13. Decisions Confirmed

Topic	Decision
Units	All quantities in kg
Rates	Entered on every entry. One rate per delivery. Can be added later
Advances	Allowed for suppliers and buyers
Middlemen	None. The person who brings the material is the supplier
CNIC	Not required
Who adds parties	Owner and accountant
Stock	Not recorded in version 1
Expense categories	One simple list, no office/production split. Note required on every expense
Petty cash	Each expense entered separately
Language	English
Tax deducted by buyers	No. Buyers pay the full amount
Deductions and claims	Agreed between both sides and recorded as an adjustment
Cheques	None. Cash or bank transfer only
Mobile wallets	No separate accounts. Money goes to bank, or is spent and recorded as cash
Oil/fat	Sold separately as its own product
Weight for payment	Supplier's weight for purchases, buyer's weight for sales
Returns	None. Settled on site, final figure recorded
Loans	None
Transport	Business pays some transport. Can be paid later
Supplier and buyer	Always different people

14. Assumptions and Items to Confirm

Item	Our assumption / Your answer
Does the business ever pay suppliers by cheque?	Assumed: no
Is oil/fat sold in kg?	Assumed: yes
Is all partner money coming in recorded as	Suggested: yes, unless owner marks it

Item	Our assumption / Your answer
investment?	otherwise
Wallet money spent directly on an expense	Suggested: record as cash received, then cash expense
Does the plant have its own scale?	_____
Payments above what amount need owner approval?	Rs _____
Expenses above what amount must have a party?	Rs _____
Who records partner money and closes the month?	Suggested: owner only
System start date (for opening balances)	_____
List of bank accounts	_____
Should the owner use two-step login (code on phone)?	Suggested: yes
Where should backups be stored (storage company)?	Suggested: Backblaze B2, or another with the same protections
Who receives alerts if something fails (phone and e-mail)?	Suggested: owner and developer
Who keeps the two copies of the backup key?	Suggested: owner (sealed envelope) and developer, then a second company person
How many years must records be kept? (ask your tax adviser)	We keep monthly backups for 7 years (the tax law minimum is 6)
If the server is lost: at most 1 hour of entries lost, running again within 4 hours. Acceptable?	Suggested: yes
Server company, size and location. Must the data stay in Pakistan? (ask your lawyer)	_____

15. Next Steps

1. You review this document and confirm, or tell us what to change.
2. You answer the items in Section 14 and provide opening balances as of the start date.
3. We show the first screens (parties, purchases, sales, payments) for your feedback.
4. We add expenses, adjustments, transport, partner money and transfers.
5. We add reports, business insights and month-end close.
6. Trial run: use the system alongside your current register for one month to confirm the numbers match.
7. Go live.

16. Client Confirmation

I confirm that this document correctly describes the requirements for Version 1 of the system.

Name: _____

Signature: _____

Date: _____

Appendix A: Pages in the System

Who: Both = owner and accountant. Owner = owner only.

Access

#	Page	Who	What it contains
1	Login	Both	Username and password. Every login recorded
2	Dashboard	Both	Today's totals, cash and bank balances, alerts, quick buttons

Daily entries

#	Page	Who	What it contains
3	Purchases list	Both	Filter by date, supplier, item, rate pending, cancelled
4	New purchase	Both	Supplier, item, kg, rate (optional), slip no., photo, our weight (optional), paid now, note. Last rate hint, unusual rate and duplicate warnings
5	Purchase detail	Both	Add rate, add adjustment, edit, cancel, share slip, history
6	Sales list	Both	Same filters as purchases
7	New sale	Both	Buyer, product, kg, rate (optional), slip no., photo, our weight (optional), received now. Credit limit warning
8	Sale detail	Both	Add rate, add adjustment, edit, cancel, share slip, history
9	Payments list	Both	Paid or received, by party, account, date
10	New payment / receipt	Both	Party, amount, account, transfer reference, handled by, photo, note. Approval if above limit
11	Payment detail	Both	Edit, cancel, history
12	Expenses list	Both	Filter by category and date, notes visible
13	Quick expense	Both	Category, amount, required note, paid now or unpaid, party, link to purchase or sale, photo
14	Expense detail	Both	Edit, cancel, history
15	Transfers list	Both	All movements between cash and banks
16	New transfer	Both	From, to, amount, reference, note

People

#	Page	Who	What it contains
17	Parties list	Both	Search, filter by type and status, balances
18	Add / edit party	Both	Profile fields, duplicate warning
19	Party profile	Both	Details, khata, rate history, weight differences, history, share statement
20	Merge parties	Owner	Combine duplicate profiles
21	Partner money list	Owner	Investments and withdrawals
22	New partner entry	Owner	Partner, investment or withdrawal, amount, account
23	Partner statement	Owner	Invested, withdrawn, balance per partner

Money and checks

#	Page	Who	What it contains
24	Accounts list	Both	Cash and banks with balances
25	Account statement	Both	Every movement with running balance
26	Rate pending list	Both	Entries without rate, with age. Add rate here
27	Approvals	Owner	Payments waiting for approval
28	Daily cash check	Both	Enter counted cash, see difference, history
29	Daily summary	Both	Kg bought and sold, money in and out, expenses, balances
30	Month-end close	Owner	Pending rates, trial balance, bank match, cash count, lock
31	Months list	Owner	Open and closed months, reopen with reason

Reports

#	Page	Who	What it contains
32	Reports home	Both	Links to all reports
33	Pending balances	Both	Owed, owing, advances with age, overdue buyers
34	Expense report	Both	By category with notes, including transport
35	Income vs spending	Both	Monthly money in vs money out, labelled "not profit"
36	Trial balance	Both	Debit total equals credit total
37	Rate report	Both	Rate history and averages
38	Weight difference	Both	Their weight vs our weight, per party
39	Adjustments report	Both	Agreed adjustments per party
40	Business insights	Owner	Kg ratio, wood per kg, rate gap, rough cost per kg, supplier and buyer comparison

Audit and settings

#	Page	Who	What it contains
41	Audit log	Owner	Every edit, cancellation, rate change, party change, login, month reopen
42	Company settings	Owner	Start date, approval limit, expense-party limit, warning limits
43	Users and permissions	Owner	Add users, set roles
44	Expense categories	Owner	One simple list, including Transport
45	Items	Owner	Waste, Wood, Protein product, Oil/Fat
46	Accounts setup	Owner	Cash and bank accounts
47	Opening balances	Owner	One-time entry on start date, locked after first month close
48	Backup status	Owner	When the last backups ran and whether they worked

Appendix B: Changes from earlier versions

Changes in Version 1.1

- Oil/fat added as a separate product.
- Agreed adjustments added for purchases and sales.
- Expenses can now be unpaid and paid later (for example, transporters).
- Transport expense category, with optional link to a purchase or sale.
- Weight slip number, photo, and optional own weight added. Weight difference report added.
- Trade-specific controls added (Section 9).
- Adjustments report and business insights added.
- Confirmed that tax deduction, cheques, wallet accounts, returns, loans and dual-role parties are not needed.
- Full page list added (Appendix A).

Changes in Version 1.2

- Backups every hour instead of daily, encrypted, stored where the server cannot delete them, restore tested monthly.
- Backup page shows backup status only; restoring is done by the two key holders.
- Temporary passwords, two-step login option for the owner, immediate logout of disabled users.
- Server, monitoring and handover arrangements added. New questions in Section 14.